

Response to the Editor

Dear Editor,

We thank you and the Associate Editor for the opportunity to revise and resubmit our manuscript to *Economic Modelling*. We are also grateful to the five referees for their detailed and constructive reports. While one referee raised concerns regarding the contribution and interpretation of the results, the remaining reports were supportive and provided valuable suggestions that have helped us substantially improve the paper.

In the revised manuscript, we have carefully addressed all comments and implemented several important changes that strengthen both the methodology and the exposition.

First, we have restructured the fiscal consolidation analysis by solving the model under *perfect foresight*. The fiscal program is now implemented as a fully anticipated sequence of policy instruments, consistent with the nature of IMF-supported programs. This change allows agents to internalize future policy paths, incorporates anticipation effects, and preserves the nonlinear dynamics of the model.

Second, we have clarified and strengthened the core transmission mechanisms. In particular, the revised paper provides a more transparent account of how fiscal instruments interact with household behavior, public capital accumulation, and the sovereign risk premium. The role of the debt-elastic risk premium as a central financial channel—linking fiscal consolidation, external borrowing, and private investment—has been made explicit throughout the analysis.

Third, we have improved the interpretation of the fiscal consolidation results by providing a clearer narrative of the transition dynamics. The revised exposition emphasizes the interaction between real channels (such as labor supply, public capital, and household income) and financial mechanisms (through the risk premium and borrowing costs), as well as the role of commodity-revenue realizations in shaping these dynamics.

Fourth, we have enhanced the transparency and robustness of the quantitative results. In addition to the baseline simulations, we now report credible intervals for the consolidation paths based on posterior parameter draws, providing a systematic assessment of uncertainty.

Fifth, we have strengthened the positioning of the paper within the literature and clarified its contribution. The revised manuscript emphasizes that the main contribution lies in providing a structural framework to evaluate how commodity-revenue uncertainty affects the macroeconomic performance of a given fiscal consolidation program, with particular attention to debt dynamics and sovereign spreads.

Finally, we have improved the overall presentation of the paper, including clearer explanations of the model structure, better integration of the empirical and theoretical components, and a more concise and transparent discussion of the results.

We believe that these revisions address the concerns raised by the referees and significantly improve the clarity, rigor, and contribution of the manuscript. We hope that the revised version is now suitable for publication in *Economic Modelling*.

Sincerely,

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